

Syllabus for Econ 239/Asian 231, Topics on Asian Economies

(This version: January 24, 2012)

Yao Tang, Spring 2012

Department of Economics

Bowdoin College

Lecture time: T 11:30 - 12:55, Th 11:30 - 12:55

Place: Searles-126

Contact Information

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Please note, I may not check emails frequently during evenings and weekends.

Course Description and Objectives

The first part of the course studies a number of important economic observations about Asian economies through the lenses of economic theory, especially the theory of economic growth. We will then focus on two of the economic heavy weights in Asia, Japan and China. Besides the specifics of these two economies, we will also discuss their relationship to the U.S. economy and what other countries may learn from their economic experience.

Writing Project Participation

Participation in the Bowdoin College Writing Project is mandatory for all students. See the handout about the writing project.

Key Dates

February 23, in-class midterm exam at 11:30 am

March 29, draft of short paper 1 due in class at 11:30am

April 10, short paper 1 due in class at 11:30am

April 26, draft of short paper 2 due in class at 11:30am

May 9, short paper 2 due at 4:00 pm

Textbook and Course Materials

Required textbooks:

- David Weil, *Economic Growth*, 2nd edition, Addison Wesley, 2008. (The 1st edition is fine too.)
- David Flath, *The Japanese economy*, 2nd edition, Oxford University Press, 2005.
- Barry Naughton, *The Chinese economy: transitions and growth*, MIT Press, 2007.

Other assigned readings and materials will be available through Blackboard and/or through the library's reserve system. As students in this class have very diverse backgrounds, certain materials may pose difficulty for some students. In such cases, please focus on understanding the main ideas and seek help from the instructor if necessary.

Web Information

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 239, accessible at <http://blackboard.bowdoin.edu/>.

Evaluation

Your course grade is based on

assignments, 5%

midterm exam, 20%

class participation, 15%

short paper 1, 20%

short paper 2, 20%

final exam, 20%

The short papers must address specific economic questions related to Asian economies. You can answer the posed question by synthesizing current economic literature, analyzing data, building an economic model, or other appropriate means approved by the instructor. The target reader of your paper should be any person with a college education background, but not an economics major or minor. The main text of both papers should be 4 to 6 pages long (double-spaced, 12-point font, and 1-inch margins). You are required to provide a bibliography, which is not included in the pages allowed for the main text. Cover page, graphs, and tables are also not included in the page count of main text. For both the draft and final version of the papers, students must hand in word-processed hard copies. You must also submit an electronic version of the final version of the papers. There is a list of possible topics for the short papers at the end of the syllabus. You are expected to talk to the instructor about the papers when you select a topic.

Academic Honesty

Students should be familiar with the Bowdoin College Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>

In particular, for the assignments, students are encouraged to work together but they must each hand in their own copy of answers.

Tentative Schedule of Topics

Please note I reserve the right to drop topics from the list. However, I will not add new topics.

- **January 24, course introduction**
- **Topics on Asian economies through the lenses of economic theory**
 - January 26, the basics about economic growth
Weil, chapter 1 and 2
 - January 31, the Four Asian Tigers: a miracle?
Weil, chapter 3
 - February 2, the Four Asian Tigers: a miracle?
Weil, chapter 7
Alwyn Young, The Tyranny of Numbers: Confronting the Statistical Realities of the East Asian Growth Experience
 - February 7, productivity, technology, and economic growth in Asia
Weil, chapter 8
The Economist, Secret sauce
Lee and Cheng, Catching-up and technological progress of the ASEAN economies
 - February 9, does economic openness promote growth in Asia?
Weil, Chapter 11
Das and Paul, Openness and growth in emerging Asian economies
 - February 14, the Asian financial crisis in 1997
S. Radelet, J.D. Sachs, R.N. Cooper, and B.P. Bosworth, The East Asian Financial Crisis: Diagnosis, Remedies, Prospects.
 - February 16, government, institution, and economic development
Weil, chapter 12
Doucouliagos and Ububasoglu, Democracy and Economic Growth A Meta-Analysis

- February 21, Is there a resource curse in Asia?
Weil, chapter 15
Frankel, The Natural Resource Curse: A Survey
Gylfason, Resources, Agriculture, and Economic Growth in Economies in Transition
The Economist, Make a new plan, Stans
- **February 23, in-class midterm exam (tentative date!)**
- **Japan and China before 1949**
 - February 28, the Japanese economy between 1603 and 1912
Flath, chapter 2
 - March 1, geography of China and the Chinese economy before 1949
Naughton chapter 1 and 2
 - March 6, the Japanese economy between 1912 and 1945
Flath, chapter 3
- **The Japanese economy after WWII: growth and stagnation**
 - March 8, postwar recovery
Flath chapter 4
in-class film viewing (20 minutes): Japan 2000, Against All the Odds, BBC
 - March 27, international trade
Flath, chapter 8
in-class film viewing (20 minutes): Japan 2000, The Hi-tech Road, BBC
 - March 29, finance and economic bubble
Flath chapter 13
in-class film viewing (40 minutes): The Japanese Economic Bubble
The Economist, An end to the Japanese lesson
 - April 3, macroeconomics: the lost decade
Flath, chapter 6
Fumio Hayashi and Edward C. Prescott, The 1990s in Japan: A Lost Decade
The Economist, To lose one decade may be misfortune...
 - April 5, macroeconomics: quantitative easing and the debt problem
John Taylor, Lessons from the Recovery from the “Lost Decade” in Japan: The Case of the Great Intervention and Money Injection
BBC News, Japan’s credit rating is cut to negative by Moody’s

- **The Chinese economy after 1949: state vs. market**

- April 10, socialist era
Naughton chapter 3
film viewing: China (120 minutes): A Century of Revolution, Mao Years
- April 12, transition and reform
Naughton chapter 4
in-class film viewing (30 minutes): China in the red
- April 17, international trade: made in China
Naughton chapter 16
Amiti and Freund, The Anatomy of China's Export Growth
- April 19, international finance: the exchange rate of Chinese Yuan
Naughton chapter 17
William R. Cline and John Williamson, 2008, Estimates of the equilibrium exchange rate of the Renminbi: Is there A consensus and, if not, why not?
Morris Goldstein and Nicholas R. Lardy, 2009, The Future of China's Exchange Rate Policy
- April 24, the high saving rate and the trade imbalance
Wei and Zhang, The Competitive Saving Motive Evidence from Rising Sex Ratios and Savings Rates in China
Prasad, Liu, and Chamon, The Puzzle of China's Rising Household Saving Rate - Brookings Institution
Michael Spence, The west is wrong to obsess about the renminbi
- April 26, the peculiar role of local governments
Li and Zhou, Political turnover and economic performance: the incentive role of personnel control in China
The Economist, Shell game
- May 1, the state strikes back?
The Economist, The visible hand
- May 3, the myth of Beijing consensus and the road forward
Yao, The End of the Beijing Consensus
The Economist, The Beijing consensus is to keep quiet.
- May 9, overflow

List of Possible Topics for Short Papers

Short paper 1

- Is there a new tale of the two cities of Hong Kong and Singapore?
- Evaluating the growth performance of a group of Asian economies (using growth accounting)
- The impact of the Asian financial crisis
- Cultural value (name a specific one) and economic growth in Asia
- Democracy and economic growth in Asia
- Are there countries in Asia that suffer from a resource curse?

Short paper 2

- The economic performance of Japan after the lost decade
- What can other countries learn from the Japanese economic bubble?
- The Japanese energy policy after the Fukushima Daiichi nuclear disaster in 2011
- Why are some Chinese families suffering during the economic transition? (Based on the documentary, China in the Red)
- Did the appreciation of Chinese Yuan reduce the huge trade surplus of China against the US?
- How can China boost domestic consumption and reduce the reliance on exports for growth?